Amplification or Insulation? Estimating the Role of Agency Ideology in Donation-Linked Favoritism in U.S. Federal Contracting

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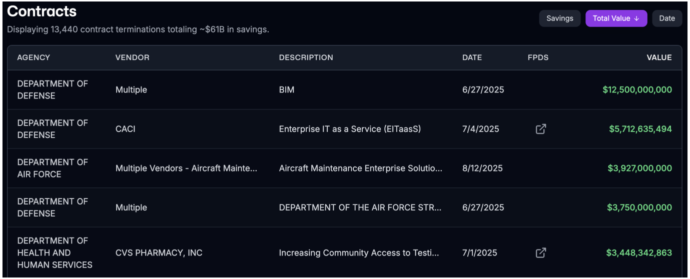
1. Introduction: Overview of the Research

- **RQ**: How does agency ideology shape the politics of federal contracting in the U.S.?
- **Gap**: Existing studies focus on firms' political donations to the party in power (Dahlström et al., 2021; Fazekas et al., 2023)
- **Argument**: Those effects vary systematically across agencies. *Agency ideology* moderates the effects of firms' political donations on contract awards
  - Agency ideology: Regulatory status; continuous, administration-specific president-agency distance
- **Mechanisms**: Ideological proximity between agencies and the president; Bureaucrats' discretion in contract awards
- **Methodology**: OLS with fixed-effects; Logistic regression; Triple-differences design (Difference-in-Differences-in-Differences, DDD)

Motivation: The DOGE Era (2025)


Contracts

Displaying 13,440 contract terminations totaling ~$61B in savings.

Savings | Total Value ↓ | Date

AGENCY	VENDOR	DESCRIPTION	DATE	FPDS	VALUE
DEPARTMENT OF DEFENSE	Multiple	BIM	6/27/2025		$12,500,000,000
DEPARTMENT OF DEFENSE	CACI	Enterprise IT as a Service (EITaasS)	7/4/2025		$5,712,635,494
DEPARTMENT OF AIR FORCE	Multiple Vendors - Aircraft Mainte...	Aircraft Maintenance Enterprise Solutio...	8/12/2025		$3,927,000,000
DEPARTMENT OF DEFENSE	Multiple	DEPARTMENT OF THE AIR FORCE STR...	6/27/2025		$3,750,000,000
DEPARTMENT OF HEALTH AND HUMAN SERVICES	CVS PHARMACY, INC	Increasing Community Access to Testi...	7/1/2025		$3,448,342,863

(Department of Government Efficiency, 2025)

2. Theory

1. **Shared coalition incentives**: Ideologically aligned officials treat co-partisan donors as legitimate coalition partners (e.g., trusted signals, deserving deference)(Hollibaugh et al., 2014; Witko, 2011)

2. **Reduced scrutiny under discretion**: Alignment lowers oversight of politically aligned contractors where procurement rules leave room for judgment (Epstein & O'halloran, 1999; Huber & Shipan, 2002; Spenkuch et al., 2023)

- *More discretion → larger favoritism effects*

3. **From alignment to institutional outcomes**: Aggregated micro-level deference shifts agency contracting outcomes toward favored firms

- *Moderators*: Procurement discretion; appointee density; agency independence (Acs, 2025; Fazekas et al., 2023; Lewis, 2008)

3. Empirical Strategy: Hypotheses

1. **H1**: *Amplification*: Ideological alignment between agencies and the president amplifies the effects of firms' political donations on contract awards
2. **H2**: *Insulation*: Ideological alignment between agencies and the president insulates officials from outside political pressures, reducing favoritism toward politically connected firms
3. **H3**: *Discretion*: The moderating effects of agency ideology are stronger in regulatory agencies with higher levels of bureaucratic discretion in contract awards

Empirical Strategy: Summary

- **Goal**: Test whether agency ideology moderates the effects of firms' political donations on favoritism in the federal contracting
- **Unit of analysis**: Contract-year
- **Dependent variable**: Favored treatment in federal contracting (Favoritism Risk Index, FRI) (Fazekas et al., 2023)
- **Independent variable**: Political donations (donation indicator; log(donation amount))
- **Moderating variable**: Regulatory indicator; continuous, administration-specific president-agency distance (Acs, 2025)
- **Control/Fixed effects**: lagged firm revenue, contract-level characteristics / product type, state, agency, congressional term fixed effects

Data

Source	What it gives	Used for
USAspending.gov, Fazekas et al. (2023)	Federal procurement contracts, 2004–2015	Contract-level FRI
DIME, Bonica (2016)	Firm campaign donations, 2004–2015	Donation variables
Acs (2025)	Dynamic agency ideal points, matched to Fazekas years	President-agency distance
Dahlström et al. (2021)	Agency independence, regulatory status, controls	Moderators and fixed effects

Bush = 2001–2009; Obama = 2009–2017. The Fazekas et al. (2023) sample covers 2004–2015.

Measure 1: Favoritism Risk Index (FRI) by Fazekas et al. (2023)

7 indicators of favoritism risk in federal contracting, measured at the contract-year level:

1. Single bidding
2. No publication
3. Non-competitive procedure type
4. Non-open solicitation type
5. Contract modifications
6. Supplier tax haven registration
7. Supplier debarred

Measure 2: President-Agency Ideological Distance by Acs (2025)

Step	Plain meaning	Data / Output
Input data	Each planned federal regulation is one observation	Unified Agenda + OIRA docket
Observed signal	Did OIRA review the proposed rule?	Binary review indicator
Model	IRT model estimates where each agency sits ideologically	Agency ideal point by administration
Scale anchor	Presidents anchor the ideology scale	Presidential NOMINATE scores
Distance measure	Absolute gap between president and agency	$\lvert\hat{\theta}_{agency,t} - \theta_{pres,t}\rvert$
Interpretation	Smaller distance means closer presidential-agency alignment	Used as agency ideology moderator

Measure 3: Regulatory Status

Matching step	Count	Role in final indicator
Fazekas et al. (2023) agencies	175	Agency universe
Strict Acs (2025) matches	37	Direct regulatory match
Broad-only rulemaking matches	57	Federal Register rulemaking match
Fuzzy candidates	8	Name-cleaning check
Final regulatory agencies	102	Regulatory $= 1$
Regulatory contract observations	42.7 percent	Share of contracts

Final binary indicator combines strict Acs (2025) matches, broad Federal Register rulemaking matches, and fuzzy name checks. $1 =$ regulatory; $0 =$ non-regulatory.

Equation 1: Main Model Specification

$$Y_{iat} = \beta_1 D_{it} + \beta_2 (D_{it} \times \text{Ideology}_{at}) + \beta_3 \text{Ideology}_{at} + \mathbf{X}'_{iat}\gamma + \mu_f + \mu_p + \mu_s + \mu_c + \varepsilon_{iat}$$

- Y_{iat}: Favoritism Risk Index (FRI) for contract i with agency a in year t
- D_{it}: donation variable
- Ideology_{at}: agency ideology (regulatory status; continuous, administration-specific president-agency distance)
- μ_f, μ_p, μ_s, and μ_c: firm, product category, state, and congressional term fixed effects (Fazekas et al., 2023)
- Standard errors: clustered at the firm and congressional term levels

Equation 2: Logistic Regression

The logistic regression of donation probability on ideological distance:

$$\Pr(\texttt{isDonation}_{ift} = 1) = \text{logit}^{-1}(\alpha + \beta \cdot \texttt{distance}_{at} + \pi_a)$$

- $\texttt{isDonation}_{ift}$: an indicator variable equal to 1 if firm f donates to the president's party in year t and 0 otherwise
- $\texttt{distance}_{at}$: the absolute ideological distance between the president and agency a in year t (Acs, 2025)
- β: coefficient captures how the probability of donation changes with the ideological distance
- π_a: agency fixed effect

4. Results: Regulatory Status as Agency Ideology (Table 2)

	Favoritism Risk Index (FRI)				
Term	(1)	(2)	(3)	(4)	(5)
Donation dummy x Regulatory	0.046				
Log donation x Regulatory		0.004			
Med. donation x Regulatory			0.070+		
Large donation x Regulatory			-0.013		
Log donation to majority x Regulatory				0.004	
Med. donation to majority x Regulatory					0.075*
Large donation to majority x Regulatory					-0.032
Num. Obs.	440,987	440,987	440,987	440,987	440,987
R^2	0.317	0.318	0.317	0.317	0.317

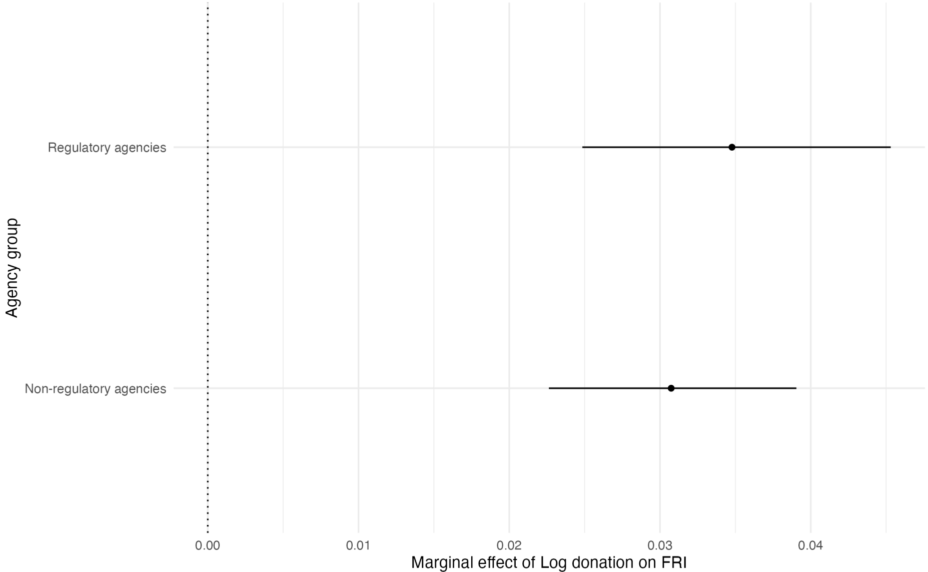
+ $p < 0.10$; * $p < 0.05$; ** $p < 0.01$; *** $p < 0.001$

Lagged Revenue Control (Table 3)

	Favoritism Risk Index (FRI)				
Term	(1)	(2)	(3)	(4)	(5)
Donation dummy x Regulatory	0.064*				
Log donation x Regulatory		0.005+			
Med. donation x Regulatory			0.088+		
Large donation x Regulatory			0.006		
Log donation to majority x Regulatory				0.005+	
Med. donation to majority x Regulatory					0.088*
Large donation to majority x Regulatory					-0.008
Num. Obs.	343,275	343,275	343,275	343,275	343,275
R^2	0.339	0.339	0.339	0.339	0.339

+ $p < 0.10$; * $p < 0.05$; ** $p < 0.01$; *** $p < 0.001$

Log Donation Effects on FRI (Figure 1)

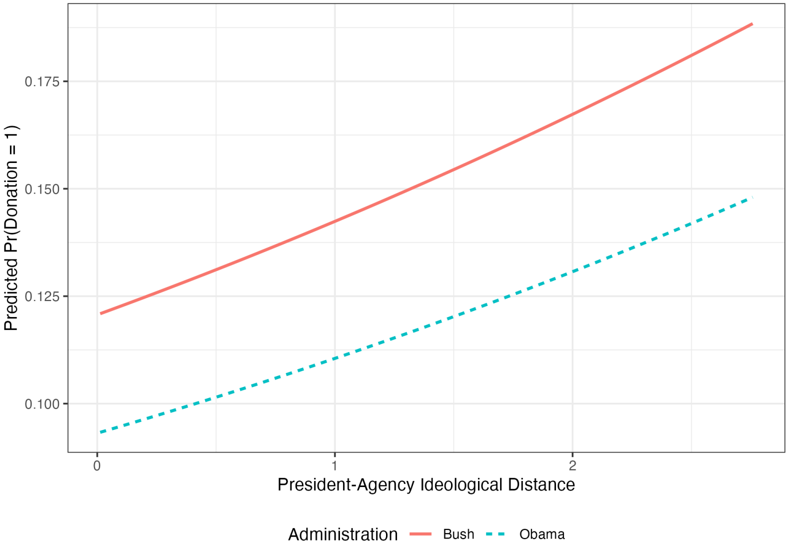


DDD Design (Table 4)

Term	Favoritism Risk Index (FRI) (1)	Favoritism Risk Index (FRI) (2)
Donation dummy x Regulatory x Dem. presidency	0.125**	
Log donation x Regulatory x Dem. presidency		0.011*
Num. Obs.	440,987	440,987
R^2	0.317	0.318

+ $p < 0.10$; * $p < 0.05$; ** $p < 0.01$; *** $p < 0.001$

Donation Probability by President-Agency Distance (Figure 2)



5. Conclusion: Expected Contributions

- **Theoretical contribution**:
  - Connect the regulatory-state literature with the procurement favoritism literature
  - Show how agency ideology can condition the returns to political donations (Acs, 2025; Fazekas et al., 2023)
- **Empirical contribution**:
  - Use dynamic agency ideal points from Acs (2025) in a federal contracting setting
  - Add regulatory status and DDD tests to the Fazekas et al. (2023) framework
- **Implications**:
  - Presidential-agency alignment may increase responsiveness, but also donor-linked favoritism risk
  - The risk appears most visible where agencies have regulatory discretion

Conclusion: Methodological Takeaways

- **Measurement strategy**:
  - Treat agency ideology as a moderator, not only as a background institution
  - Use both regulatory status and continuous, administration-specific president-agency distance

    (Acs, 2025; Fazekas et al., 2023)
- **Modeling strategy**:
  - Use interaction models for donation-linked favoritism
  - Use DDD to test whether regulatory status matters differently across presidential-party periods
- **Validation strategy**:
  - Check whether the Acs-based measure travels from regulatory output to procurement outcomes
  - Use distributional diagnostics to justify count-model choices

6. Discussion: Limitations & Future Directions

- **Measurement limitations:**
  - FRI measures procedural risk, not directly observed favoritism (Fazekas et al., 2023)
  - President-agency distance is estimated and its uncertainty is not fully propagated (Acs, 2025)
- **Sample limitations:**
  - The merged contracting sample covers 2004–2015
  - The design mainly compares the Bush and Obama administrations
- **Mechanisms:**
  - Future work could separate ideology from appointee density, mission, and procurement-officer discretion
- **Future directions:**
  - Test heterogeneity by agency function, racial/ethnic diversity of agencies, industry, and firm size
  - Use transition/event-study designs around presidential turnover

Thank you!

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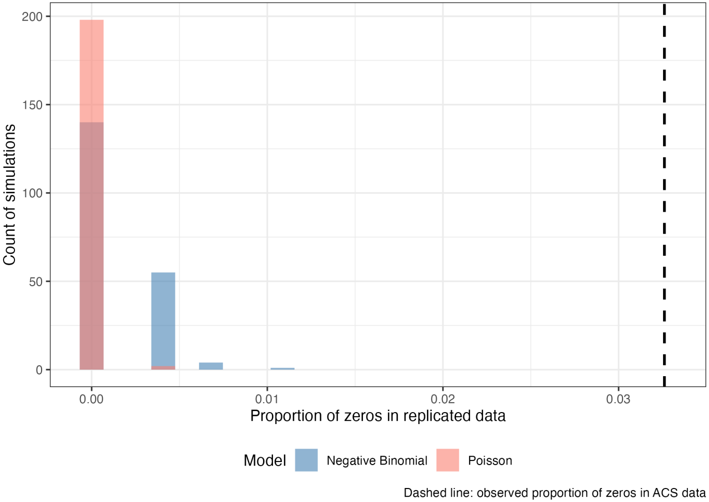
Appendix. Figure 1

Posterior Predictive Check: Proportion of Zeros in Poisson vs. Negative Binomial Replications



Appendix. Table 1

Table 1: Regulatory Audit Summary (Strict ACS vs Broad Rulemaking Reference)

metric	n
Unique agencies in Fazekas data	175
Strict ACS matches (regulatory_strict = 1)	37
Broad-only matches (broad=1, strict=0)	57
Unmatched in both references	81
Fuzzy candidates among unmatched	8
Broad regulatory reference size (2004-2015)	277

Appendix. Table 2

Table 2: Final Regulatory Match Coverage (strict + broad + fuzzy)

contract	agencies	reg_agencies_finalmatch	pct_obs_finalmatch
475459	175	102	42.7

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